

Introduction

BACK IN THE EARLY part of this century, young Americans were growing up in a world where the only message they received about money was how to spend it and acquire as many material items in as short amount of time as possible.

Though the advertising media initiated this message, it was also confirmed by the spending and saving patterns of the baby boomer generation—a generation that grew up with parents who served as a counterweight to the advertising media. The baby boomers were told that if you really wanted something, you should save up for it, and that only a fool would go into debt because of unnecessary spending. Sure you might take out a mortgage to buy a home or an automobile if you needed one to get to work, but that was it. The old furniture would do until you saved up to replace it, vacations were just a drive away, and entertainment consisted of visiting with friends and family. In order to get the things they wanted when they were young, the baby boomer generation worked for them.

Then they grew up and adopted the attitude that they deserved to acquire material goods now and worry about paying for them tomorrow. All of a sudden, the world of money changed. Easy credit became available, and saving was a sucker's game. Succeeding generations, people who are now in their twenties and thirties like you, entered into a world of buy now and pay (if you can) later.

This book is an attempt to inject a little “fiscal sanity” back into the equation, and to give you an alternative point of view to the mainstream notion that you should pay everybody else before yourself. This book will show how to use debt in a way that makes sense, and how to curtail frivolous spending caused by impulse purchases made by clicking a mouse, using your cell phone, or watching an infomercial. You will be introduced